



An NGO's IT Department Grows Into an International IT Solutions Provider

Bangalore-based Mahiti Infotech clears doubts about the profitability of open source ventures, and reveals how it won over clients who had never heard about FOSS before.

Sreekanth S Rameshaiah and Sunil Abraham were still college students back in 1997 when Samuha, an NGO in Karnataka, approached them with a project. The students were asked to build a solution using open source, and the two were happy to oblige and work for the NGO's IT department.

Samuha also works to encourage leadership and entrepreneurship. The NGO observed considerable growth potential in its IT team, and in 2002, persuaded the duo to form a for-profit private entity. It was then that Mahiti Infotech was born. In less than a decade, the company has grown into a FOSS solutions-providing entity with a reputed international clientele.

Its revenue grew from a few lakh to Rs 4 crore, and it bagged clients located in the US, South Africa, Australia and France. Over time, Mahiti has created a niche in the market for multi-platform, multi-lingual Web applications, extranets, Intranets, multimedia and kiosk applications.

Talking about the gap that Mahiti filled, Rameshaiah asserts, "Mahiti was not a reaction to what the market needed. We didn't do enough research to identify a gap in the market, but we knew that open source had potential, and required awareness. We started offering solutions that were less expensive, but stable. Now, it is a practice to study the market, figure out strategic sectors, and invest there."

Focus on 'solutions' rather than development tools

Though Mahiti boasts of clients like The Body Shop, Cruise Holidays, Explocity, and Sobha Developers, it wasn't always easy to win over clients with open source. One of Mahiti's initial challenges was to get clients to consider FOSS as an option. Rameshaiah explains, "In the beginning, people weren't aware of what open source was. They didn't know why they ought to use it, and why it was in the public domain for free. They would often ask, 'What's the catch?', and get bogged down by the terms and licensing issues when we tried explaining. We turned the tables, and started offering them solutions rather than talking about open source. We ensured that the customers got what they wanted. Clients want to know details like the solution's scalability of architecture, and if the components are capable of handling high loads. We give them such details, and instead of pushing them to use open source, we mention the total cost of owning the solution, the total cost if the application has to scale tomorrow, recurring costs, licensing costs, the one-time investment, and maintenance costs to keep the applications running. They become aware of the value propositions, and only when they accept it, do we start using the term 'open source'."

Gradually, the Mahiti team explains to clients what FOSS is, how it works and how other known corporations use